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NIKE'S CONSUMER DIRECT OFFENSE STRATEGY: A HIT OR A MISS?

> *[Consumers] want to get what they want, when they want it, how they want it… There are not digital shoppers versus physical retail shoppers. There are no shoppers who only shop in mono-brand stores versus multi-brand shoppers. Consumers want to get what they want across multiple channels. ...The consumer will have a choice to come to Nike directly digitally, to come to a Nike door or to go to one of our wholesale [partners].*
>
> John Donahoe, CEO, Nike[1]

Although Phil Knight, the visionary founder of Nike Inc. (Nike) had stepped down as the company's Chairman-emeritus in 2015, he remained actively involved with the company. In 2024, as Nike faced a critical time, he stepped in to support the company's efforts to restore its brand image by leveraging the influence of its iconic ambassador athletes and coaches. Ahead of the 2024 Paris Olympics, Knight wrote a letter to them with a direct message, "We need you. The world needs you. Now more than ever".[2]

Seven years earlier, in 2017, Nike, the global sportswear giant, had accelerated its direct-to-consumer (DTC) vision by launching the Consumer Direct Offense (CDO) strategy to drive growth and boost profitability into the coming decade. The company aimed to strengthen its bond with consumers by providing faster access to innovative, high-performance products and styles, along with premium, seamless brand experiences. It also prioritised selling through its own retail channels, including both physical stores and digital platforms, to offer a more direct and curated shopping experience.

To implement CDO, Nike undertook several measures, including restructuring and re-organising its operations, acquiring new technologies and digital capabilities, developing an omni-channel supply chain and retail network, ramping up its product innovation pipeline, and radically cutting back on its long-standing wholesale distribution. It also introduced the Consumer Direct Acceleration (CDA) programme in 2020 to create a more consistent and seamless consumer experience across its retail ecosystem.[3] Nike further increased its annual marketing budget substantially to drive consumer engagement and brand loyalty through promotions and its membership programme. The strategy paid dividends, with the company posting strong results in fiscal years 2021 and 2022. Its gross margin rose to 44.8% in 2021 and 46% in 2022, primarily on account of Nike direct revenues growing by 30% and 14% respectively over the previous years. In fiscal 2022, Nike's net income reached a record high of US$6 billion.[4]

However, in 2022-2023, Nike faced mounting challenges as an unexpected slowdown in consumer demand, compounded by COVID-19-related supply chain disruptions, which resulted in significant

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inventory accumulation of both seasonal and off-season products. In fiscal year 2024, despite the company reporting an annual revenue of US$51.4 billion, a marginal year-on-year increase, its revenue in the final quarter saw a 2% decline. More importantly, its direct revenue for the same quarter shrank by 8%.[5]

Nike was not alone in this challenging time, and like other sportswear companies, it recognised the need to invest more in demand creation, product innovation, and marketplace experience, while cutting operational costs and improving efficiency. However, unlike other companies, Nike no longer had adequate representation in third party retail to alleviate its inventory burden and promote its products in a multi-brand marketplace. Moreover, Nike's DTC focus had added considerable 'complexity and inefficiency' to its operations, resulting in a poor flow of product innovations and high overheads, including a large workforce of 83,700 people, a 12% increase since 2017.[6]

As Knight wrote the letter to Nike's brand ambassadors, he might have contemplated: Had the company's decision to focus on DTC channels and exit the multi-brand marketplace put it at a disadvantage in attracting consumers? Did the vacated retail shelf space create opportunities for competitors to gain ground? Was Nike's heavy reliance on its direct channels for demand forecasting and inventory management a strategic misstep? More crucially, had the CDO strategy shifted the company's focus away from its core strengths, such as frequent product innovation centred on sports, bold brand marketing, and maintaining a lean, flexible structure? What should Nike's next steps be?

The Global Sportswear Industry

In 2023, the global sportswear (footwear and apparel) industry was valued at US$335.92 billion and was estimated to reach US$646.01 billion by 2030, growing at a compound annual growth rate (CAGR) of 9.9%.[7] The surge in health consciousness and adoption of active outdoor lifestyles, rise of athleisure fashion and technological innovations were some of the key factors that drove the industry. Regionally, North America was the largest market, commanding 40% market share, followed by Asia Pacific at 27% and Europe at 21%.[8] In terms of demographics, men's sportswear accounted for 51% market share, while women and children's categories contributed 36% and 13% respectively (refer to **Exhibit 1** for details).[9]

The industry had different retail channel formats including speciality retailers, wholesalers, and digital platforms, besides a growing DTC focus. In 2023, online retail accounted for 30% of the sportswear market, having experienced a huge surge in the previous five years, especially post pandemic. Yet, offline retail remained a dominant and important marketplace for sportswear companies in enabling tangible consumer experience, access to a broad consumer base, and managing inventories (refer to **Exhibit 2** for retail distribution).[10] Technological advances had also led to the emergence of phygital[1] stores, bridging the gap between offline and online retail by offering consumers a seamless experience.

The Competitive Landscape

Fuelled by constant innovation and the need for differentiation, the sportswear industry in 2023 was intensely competitive and fragmented, comprising strongly entrenched global powerhouses as well as emerging local and niche players (refer to **Exhibit 3** for details on market shares).

[1] Phygital retail provides customers an immersive experience by blending online and offline features and services.

Nike dominated the market with a 15.8% share, nearly twice that of its closest competitor, Adidas, which held 8.3% share.[11] In 2023, Adidas reported annual revenue of US$23.7 billion, reflecting a 4.8% year-on-year decline. The company had faced many challenges in the year, including the collapse of its Yeezy business in 2022, overstocking, and decline in sales, particularly in North America. Yet, it managed to do better than expected because of the successful launch of its retro styles, such as the Samba and Gazelle in new colours and limited editions.[12] Wholesale remained Adidas' largest retail channel, accounting for 59% of net sales, while its DTC business grew to 41%, up from 39% in 2022.[13] Puma secured the third spot in 2023 with an annual revenue of US$9.2 billion, marking a 6.6% growth compared to the previous year, fuelled by strong demand for its products. Its DTC segment accounted for 24% of total revenue, showing a notable 17.5% increase over 2022.[14]

By 2023, niche sportswear brands, such as Lululemon, New Balance, Hoka, and On Running, had emerged as key challengers to these established players, having acquired a global market share of 35%, up from 20% over the 2013-2020 period.[15] Their faster innovation cycles, stronger appeal to younger customers, and global running clubs, had led them to grow considerably.

In 2023, Lululemon grew its revenue by 20% y-o-y, surpassing US$8.1 billion and staying on track to meet its US$12.5 billion target by 2026. New Balance, with sales reaching US$6.5 billion, nearly doubled its revenue since 2020 by leveraging influencer partnerships and introducing innovative products tailored to a diverse customer base.[16] Deckers, the parent company of brands such as Hoka, recorded US$3.6 billion net sales. Hoka alone contributed US$1.4 billion, a remarkable increase from just US$153 million in 2018. A major driver of Hoka's rapid success was its robust pipeline of innovative products, comprising comfort-focused, high-performance designs for running, hiking and other outdoor activities. Deckers' revenue was split between 60% from wholesale and 40% from DTC channels.[17] Swiss sports shoe brand On Running, renowned for its CloudTec technology, achieved record-breaking revenue of US$2 billion in 2023, marking a 55% growth over the previous year. The brand saw particularly strong demand in the APAC region, with sales surging by 76%, and in North America, where they grew by 52%.[18] On Running's wholesale net sales surpassed US$1.13 billion, while its DTC channel grew to account for 37.5% of total sales.[19]

Nike

In 1964, Phil Knight and Bill Bowerman, in a 50-50 ownership, established Blue Ribbon Sports in Oregon, USA, to distribute running shoes for Onitsuka Tiger, a Japanese company. In 1971, the duo ended their collaboration with Onitsuka Tiger and formally incorporated Nike Inc, named after the Greek goddess of victory. In the same year, Knight also introduced the 'swoosh' logo. By 1978, Nike had made its name with top athletes—such as Jon Anderson and Henry Rono in track and field races, Jimmy Conners in tennis, and players of the Boston Celtics and Los Angeles Lakers basketball teams—wearing its shoes in notable competitive events across different sports.[20]

Pursuing a product-centric approach, Nike's revenue by 1980-1981 had grown at a CAGR of 85% to reach US$458 million; its profit had doubled every year since 1972, and the company had successfully gone public.[21] It had operations across 50 locations globally and employed a team of over 3,600 staff.

By 1983, Nike had expanded to five European countries and Japan, with its foreign sales at US$93 million. In the same year, the company introduced 63 new and improved shoe models, having spent US$8 million on product innovations, and sold 46 million pairs of shoes to 11,000 retail accounts in the US.[22] Nike's apparel line had also become a major force in the active sportswear market, with global revenues from it reaching US$107 million. However, after over a decade of high growth, the year 1984 turned out to be tough with Nike's net income plummeting by 29%. Despite the launch and success of Air Jordan, its new brand in collaboration with basketball player Michael Jordan, the downward trend continued and by 1987, company's sales had dropped by US$200 million.[23] The company attributed it to the shifts in the US domestic market with consumers seeking more fashionable and traditional styles to its athletic-looking merchandise.

Forced to re-examine its strategy, Nike recognised the need to put the consumer at the centre stage and become more marketing oriented.

Consumer-Centric Approach (1988 – 2017)

Knight explained,

> *We used to think that everything started in the lab. Now we realise that everything spins off from the consumer. And while technology is still important, the consumer has to lead innovation. We have to innovate for a specific reason, and that reason comes from the market… You also have to understand the brand. That whole experience forced us to define what the Nike brand really meant.*[24]

In 1988, the minimal advertising policy of the company was reversed, and from having spent only US$5 million in advertising in 1987, Nike went on to spend US$40 million and rolled out its iconic "Just Do It" campaign. Hereafter, besides staying at the top of product innovations, the company prioritised building strong influential brands and creating a diverse portfolio to cater to a broader range of customer preferences. It enhanced its connection with the customers through innovative marketing campaigns, expanding its roster of top athletes endorsing the brand, sponsoring key events, and developing a multi-channel retail and service network.

Over the next three decades, Nike experienced tremendous growth, with its revenue climbing to US$34.5 billion by fiscal year 2017, up from US$1.2 billion in 1987. However, its selling and administrative expenses—which included promotions, advertising, and retail brand presentation—also grew significantly, rising to 30.8% of total revenue from 20.5%.[25]

The Brands

By 2017, Nike's product portfolio had expanded to include performance and casual footwear, apparel, equipment, and accessories for men, women and children and comprised four major brands: Nike, Jordan, Hurley and Converse. The Nike brand, which comprised nearly 94% of the company's revenue, was available in nine key categories: running, basketball, football, the Jordan brand, men's training, women's training, action sports, sportswear, and golf. Other products included those for cricket, lacrosse, tennis, volleyball, wrestling, walking and outdoor activities and products designed for children.[26]

The company also sold accessories, such as bags, socks, eyewear, timepieces, digital devices and gloves, and performance and protective equipment. The Jordan line predominantly focused on athletic and casual footwear, apparel and accessories for basketball; Converse was its wholly owned subsidiary brand that offered a casual line of sneakers, apparel and accessories; and Hurley specialised in a line of action sports and youth lifestyle apparel and accessories (it was sold off in 2019).

Nike and its swoosh design were the company's most valuable assets and were registered as its trademarks in over 170 jurisdictions worldwide. In 2017, Nike was ranked the most valuable apparel brand at US$31.7 billion.[27] According to Trevor Edwards, President, Nike brand in 2017,

> *Nike Brand is strong. Year-after-year, in any environment, the Nike brand continues to connect with consumers all over the world. And we know that, because we have third party tracking studies that we've done for many, many years. And the consumers tell us that we are the #1 cool brand and the #1 favourite footwear and apparel brand for today's youth.*[28]

Product Innovations

Nike was relentless in launching product innovations that enhanced athletic performance as well as consumer experience. John Hoke, Nike's Chief Innovation Officer, commented,

> *For more than 50 years we've listened and over-delivered to our athletes with the best of Nike innovation. We always push the boundaries of what's possible and take risks to help create the future of sport together.*[29]

Nike Sport Research Lab, a premier centre for advanced R&D in biomechanics, exercise physiology, engineering, industrial design and related fields, employed specialists, developed new technologies, conducted rigorous research, and consulted experts such as athletes, coaches, trainers, equipment managers, orthopaedists and podiatrists to ensure the performance and design superiority of its products. Innovations like Nike Air, Lunar, Zoom, Free, Flywire, Dri-FIT, Flyknit, Flyweave, ZoomX, React and Forward technologies had set the standard for the industry.[30] In 2017, the company also unveiled its new innovation centre, Advanced Product Creation Center (APCC) spread over 125,000-square-feet of space.[31]

Marketing and Demand Creation

<u>Endorsements and Sponsorships</u>

Nike continued to use endorsements and sponsorships with some of the world's most iconic athletes, teams, leagues, and events to strengthen its brand image, becoming the most recognisable sports brand globally. Over the years, the company forged powerful partnerships by enlisting top-tier athletes across various sports. While many sports brands pursued a similar strategy, Nike set itself apart by spending unparalleled budgets to secure long-term deals with many of the greatest sportspersons, such as Tiger Woods (since 1996), Roger Federer (since 1994), Serena Williams (since 2003), Kobe Bryant (since 2003) and Kevin Durant (since 2007).[32] It even signed lifetime agreements with some of the legends—Michael Jordan, Lebron James and Cristiano Ronaldo—with their contracts reportedly exceeding US$1 billion in value.[33] Serena Williams commented, "Nike's a winning brand. And they partner with winners."[34]

In 2000, the Nike swoosh made its debut as an official part of the Olympic Games in Sydney.[35] The company also forged partnerships with major sports leagues globally, providing kits to the NFL, NBA, and MLB in the US, as well as top football clubs like Chelsea and Tottenham Hotspur in the UK, PSG in France, Inter Milan and AS Roma in Italy, and FC Barcelona and Atletico Madrid in Spain.[36] Nike was also the longest-running sponsor of the Board of Control for Cricket in India (BCCI), holding the partnership since 2006.[37] These high-profile contracts in key global markets enabled Nike to expand its digital presence and accelerate the growth of its e-commerce business.

<u>Advertising and Promotions</u>

Nike's advertising strategy to elevate its brand through emotional storytelling, featuring prominent athletes and espousing larger-than-life causes, had resulted in some of the world's most iconic campaigns, such as the 'Just Do It' advertisement in 1988, featuring 80-year-old icon Walter Stack running across the Golden Gate Bridge or the 1995 TV commercial featuring Pete Sampras and Andre Agassi playing tennis in the streets of Manhattan. In 2005, the company released its Reincarnate campaign, featuring the former Arsenal player Thierry Henry, motivating athletes to 'leave their old selves behind' and discover their potential, followed by 'The Power To Your Feet' starring players like Maria Sharapova, Roger Federer, Ruud van Nistelrooy, Paula Radcliffe and Wayne Rooney highlighting the Nike Free technology that set feet free. In 2015, Nike spent over US$1.1 billion to create a rerun of the 1995 tennis match in New York's Greenwich Village by having an all-star cast including Serena Williams, Rafael Nadal, Roger Federer, Maria Sharapova and John McEnroe in addition to the original cast.

Nike also connected with billions of its consumers through social media platforms such as Facebook, Instagram, Twitter, and LinkedIn. For instance, in 2017, live streaming of its "Breaking2" event featuring world class marathoners across Twitter, Facebook and YouTube earned it 13.1 million views, while the term #breaking 2 generated 140,029 mentions.[38] Social listening helped the brand gather authentic and direct feedback from consumers and create targeted products and promotions.

During 2015-2016, Nike launched its membership programme that shoppers could join on its website or mobile apps. In addition to earning loyalty rewards, members got access to exclusive collections, priority access to sporting event tickets, special offers, expert advice on exercise and training, free shipping, and returns. The programme grew at 30% annually, and in less than two years, Nike had gained over 100 million members, who spent three times more than the regular shoppers.[39]

Retail and Service Network

Over the years, Nike partnered with a diverse network of wholesale retailers, independent distributors, and licensees to sell its products. Since 2011, it also began to expand its distribution channel by developing a DTC network that included its own in-line and factory stores, as well as Nike-owned digital commerce retail stores, websites like Nike.com, and mobile applications. In 2017, the company's retail network encompassed 30,000 retailers with 110,000 points of distribution across over 190 countries, with 2.8 billion consumers visiting its stores. Nike also had 985 DTC stores in operation, which along with digital commerce represented about 28% of the brand's total revenue, up from 16% in 2011.[40,41]

Activation of Consumer Direct Offense

By June 2017, Nike leadership had recognised the rising popularity of sports and active lifestyles; the consumer demand for unlimited access, faster deliveries, and premium, distinctive experiences; and the shift toward digital commerce.[42] These trends, coupled with the its brand's strong equity, led the company to introduce CDO, a new strategy to accelerate its DTC sales and serve consumers better and personally, at scale. According to Mark Parker, Nike's CEO in 2017,

> *The key to expanding our competitive edge continues to be our total commitment to the consumer through the consumer-direct offense.*[43]

The objective was to have greater control over the brand's presentation in the retail space and take ownership of customer-brand experiences; deliver a robust product portfolio featuring a large selection of top-performing styles and breakthrough innovations at a faster pace than competition;

and boost profitability by increasing full-price sales and eliminating intermediary margins. These goals were in line with Nike's 'Triple Double' strategy, announced three months earlier, which focused on amplifying innovation, accelerating speed to market, and growing direct consumer connections (refer to **Exhibit 4** for details).

Reorganisation and Realignment

Nike's CDO strategy involved various initiatives aimed at integrating its category management, geographic reach, marketplace dynamics, product offerings, merchandising, digital platforms, and DTC operations into a cohesive system. In 2017, Nike created two new organisations: Nike Direct, and an end-to-end design-to-delivery organisation. The former aimed to organise its digital, DTC retail and member operations, while creating interactive and innovative brand-consumer experiences. The latter focused on categories, design, product and merchandising with an emphasis on categories expected to grow the most, such as running and basketball. It also planned to set up a dedicated team catering to women in each top-tier category.[44]

Furthermore, Nike narrowed its focus to key markets comprising 12 cities across 10 countries, with an objective to be physically closer to its core consumers and provide them same-day or next day delivery. These markets—New York, London, Shanghai, Beijing, Los Angeles, Tokyo, Paris, Berlin, Mexico City, Barcelona, Seoul, and Milan—were expected to account for over 80% of the company's growth through 2020. Nike also planned to test market its new products in these cities, allowing it to quickly weed out the ones that failed to make a mark. In addition, the company streamlined its geographic structure to improve operational efficiency by reducing its business segments from six to four regions: North America; Europe, Middle East and Africa (EMEA); Greater China; and Asia Pacific and Latin America (APLA).[45]

In 2017, Nike also introduced a premium version of its membership programme, NikePlus, offering members exclusive benefits such as early access to the latest products tailored to their individual preferences and purchase history, and the ability to reserve. The programme also featured a curated, member-only assortment of items, available through the Nike app or Nike.com. NikePlus was expected to grow the brand's membership base by three times over the next five years.[46]

In 2020, Nike put in place a CDA plan to digitally empower and accelerate the alignment of its marketplace in line with CDO. It ramped up investments in technology, including data science, demand sensing, insight gathering, inventory management, augmented reality, machine learning and AI, to help create premium, consistent, and seamless shopping experiences across its marketplace. The sportswear company also adopted new simplified broader consumer constructs —Men, Women, and Kids and Jordan categories— to create products with deeper insights, drive greater specialisation, and tap into bigger opportunities.[47]

Over 2017-2022, Nike also revised its marketplace strategy to provide consumers a superlative and personalised experience no matter where they shopped from–in-store or online. The sportswear giant shifted away from undifferentiated mediocre retail, such as multi-brand wholesalers, department stores, and speciality athletic shops, either physical or digital, which did not offer quality service or experiences to Nike shoppers and were less profitable as well. It instead focused its resources, marketing efforts and exclusive product offerings on differentiated spaces, such as Nike-owned stores, and some key strategic partners willing to create branded Nike space within the stores and have Nike-trained employees for customer service.

For Nike Direct stores, the company entered into substantial operating lease commitments for retail spaces, with certain stores designed as high-profile venues to boost brand awareness, customer engagement, and digital integration. These flagship stores, characterised by unique designs, advanced technology, prime locations, and larger sizes, demanded considerably more investment than standard outlets.[48] However, by offering a curated user experience with select product assortments, premium store environments, and exclusive services, Nike was able to charge a premium for the in-store experience while also saving on dealer margin costs. The direct channel also comprised digital platforms, such as the website Nike.com and four mobile apps: the Nike App, Nike SNKRS app, Nike Run Club, Nike Training Club.[49]

Development of New Capabilities

Digital Prowess

Over 2017-2022, Nike invested in advanced technologies to drive its DTC strategy across its value chain. Commenting on Nike's digital strategy, Donahue said,

> *Digital is now woven into everything we do as a company. It's how we operate and prioritise, from how we engage with members, to how we operate our supply chain, to how we serve consumers in the marketplace… Through innovation, we are serving consumers in ways no other brand can. We're using digital to connect product to consumers like never before.*[50]

For predictive analytics capabilities, Nike bought Zodiac in 2018 and Celect in 2019. Zodiac, an analytics firm, used historical consumer data from Nike's apps to predict individual customers' buying behaviour and enhance the accuracy of sales forecasts.[51] Celect, a Boston-based demand-sensing company, helped the sports giant optimise its inventory across its omnichannel environment through hyper-local demand predictions. In 2021, Nike took over Datalogue, a New York-based data integration platform with proprietary machine-learning technology to help Nike integrate data from various sources, including its app ecosystem, supply chain, and enterprise operations, into a standardised platform.[52] Donahoe said,

> *The acquisition of Datalogue builds on our digital momentum by enhancing our ability to transform raw data into actionable insights in real-time and across the enterprise.*[53]

Using AI and other cutting-edge technologies, Nike also reinvented its 17-year-old Nike ID initiative, relaunching it in 2017 as "The Nike By You Maker's Experience". This innovation allowed customers to use voice commands to design personalised sneakers with limitless options and have them ready within 90 minutes. Acquisition of Israel-based Invertex, which specialised in 3-D foot scanning, in 2018, enabled the company to develop Nike Fit, an app that scanned the consumer's feet to recommend the best size for them across the brand's several styles.[54]

<u>The App Ecosystem</u>

Nike also built a strong app ecosystem to connect directly with customers. Donahoe explained, "We know a consumer who connects with us on two or more platforms has a lifetime value that's four times higher than those who don't".[55]

The Nike app presented the main platform for e-commerce. In 2018, the company partnered with intelligent automation provider Laiye to launch a chatbot to help its e-commerce customers find what they need and provide personalised product recommendations.[56] Nike also enabled its mobile app to be used in its stores. Using the app's in-store mode, shoppers could request for fitting rooms and shoe sizes instantly, access special offers and exclusive products, and checkout directly in the app without having to queue up at the counter.[57]

Nike's other apps delivered differentiated experiences to consumers while gathering data on their purchasing habits, personal information, and exercise routines to inform its marketing initiatives and gauge customer demand. The SNKRS app allowed members direct access to highly-desirable products: SNKR Stash granted them access to Nike and Jordan exclusive products based on their mobile geo-locations, while Shock Drop provided them surprise notifications for highly sought-after sneakers, allowing immediate sales via the app or at the nearest Nike or wholesale stores.[58] In 2020, Nike added live streaming to the SNKRS app and launched SNKRS Live–its first live-streamed product drop.[59]

The other two apps–Run Club and Training Club–aimed to augment the brand experience beyond retail by allowing Nike fans and users to plan workouts and compete to earn rewards through the company's platform.[60] The Training Club app offered more than 185 workouts, including yoga, stretching, and strength exercises, along with tips and diet plans. The Run Club app also has a built-in an upsell prompt for Nike running products, integrating online shopping right into the app, made personalised product recommendations based on the users' profile and running style, and sent automatic reminders when their shoes needed replacement.[61] The app also included gamification features to engage and retain users. Besides, users could sync their account with the Health apps on their phones to track their fitness data.[62,63]

By end-2022, Nike, had about 160 million active members, who engaged with the brand on a regular basis across Training Club, Run Club, and SNKRS apps.[64]

<u>The Virtual Space</u>

Nike also engaged young consumers directly on Nikeland, its branded virtual space launched in November 2021, in collaboration with Roblox, an online game platform and game creation system. The metaverse was an immersive 3D landscape space that enabled visitors to browse merchandise, build and style avatars, design sneakers and play games. By September 2022, over 21 million people had visited Nikeland.[65]

The sportswear giant further expanded into the NFT (non-fungible tokens) space by acquiring RTFKT, a digital sneaker company. In 2022, they launched a collection of 20,000 NFT shoes, which gamers could purchase and have their avatars wear.[66]

Nike used these capabilities to gather valuable customer data, create deeper connections with its top users, achieve operational efficiencies, and drive direct sales.

Omni-channel Supply Chain

To facilitate speedy and precise deliveries to support its rising direct sales and reduce fulfilment costs per unit, Nike invested in building omni-channel supply chain capabilities. By 2020, it tripled its fulfilment capacity across North America, Europe, Middle East and Africa by establishing multi-node regional networks instead of its previous centralised national distribution facilities in these markets. For instance, in the US, it expanded from one centre in Memphis, Tennessee to several regional centres, such as in Los Angeles (California), Bethlehem (Pennsylvania), and Wilmer (Texas). In Europe, it set up another centre in Madrid besides the one in Belgium.[67]

In 2021, to fast-track products movement, Nike launched "sole train," a dedicated high-speed Los Angeles-to-Memphis train linking America's largest container ports and its facilities to its distribution centres.[68] According to the company's spokesperson,

> *This included a partnership with our local drayage carriers, where they committed to off-loading the train as soon as it arrives, making products available within 24 hours.*[69]

By 2023, Nike had 75 significant distribution centres–eight in the US and 67 internationally.[70] The company's newly acquired advanced demand-sensing and inventory optimisation capabilities facilitated the strategic placement of merchandise across its warehouses. Nike also introduced click-and-collect from store and ship-from-store to home to fulfil orders from locations closer to the consumers.[71] According to Matt Friend, Chief Financial Officer,

> *The benefits for us in that are in gross margin. It's more full-price realisation. It's lower cost to fulfil. And frankly, it's better for the environment because it's less shipping and it's less moving stuff around.*[72]

Nike also partnered with Geek+, a smart logistics provider, to deploy robots in its warehouses. The robots carried ordered products directly to workers, enhancing picking efficiency, reducing operational costs, and alleviating physically demanding tasks for employees, allowing them to focus on higher-value activities instead.[73] By 2022, the company had added 1,000 robots that assisted with sorting and packing, tripling Nike's digital order capacity and overcoming the industrywide labour shortages and high wages.[74] According to Donahoe,

> *Robots played a huge role… Over one million boxes shipped by robots and the productivity that comes with that.*[75]

Retail Redistribution

<u>Own Stores</u>

During 2017-2022, Nike implemented its new retail model. It launched and expanded a network of its own stores with concepts, such as Nike House of Innovation, Nike Live, Nike Rise, Nike Unite, and Nike Style, that blended digital and physical experiences. These phygital stores leveraged customer data to offer highly personalised experiences while driving operational efficiency.

Nike House of Innovation stores were expansive, immersive spaces that delivered a fully digital, end-to-end consumer experience. Shoppers could explore the latest products and styles, customise shoes, and enjoy private in-store styling sessions, all designed to encourage visits to Nike's own stores rather than third-party retailers. These flagship stores were launched in prime locations in major cities. The first two were opened in 2018, on Nanjing East Road shopping district in Shanghai (41,150 square feet)[76] and on Fifth Avenue in New York City (68,000 square feet)[77], and the third in 2020 on Champs-Élysées in Paris (27,000 square feet).[78]

Nike Live, a chain of experimental, members-only small-sized stores, were hyper-localised with merchandise, services, and promotions tailored to meet the specific demands of each neighbourhood. The company practised rapid replenishment and frequent drops of new assortments in these stores, which served as "living retail labs" for testing and trial of new products and services. The Live stores were also integrated with the Nike mobile app, enabling members to reserve products, accrue and redeem loyalty points, and access product information. Additionally, they offered a range of digital and convenience-focused services, including in-store chat and expanded pick-up options, such as buy online, pick up in-store (BOPIS), and curb-side pickup. Over 2018-2020, Nike opened four Live stores in Los Angeles, Tokyo, New York, and Tigard, with plans to expand to 200 stores across North America, Europe, the Middle East, and Africa.[79]

In 2020, the Nike Rise format was introduced. Like Nike Live, it emphasised a localised approach but was significantly larger in scale with much bigger footprint and assortment, and targeted the city as a whole. It was designed to cater to the urban environment and offered several experiential activities. For instance, in the area earmarked as the "huddle", shoppers could engage in wellness discussions with experts, sign up for local events, or even do workouts within the store premises; the grab-and-go section offered an assortment of nutrition and hydration products suitable for consumption during workouts; and in the 'broadcast booth', the retailer held events such as virtual training sessions.[80]

The Nike Unite retail concept was designed to reflect the local community and help people connect with sports. These storefronts featured city-specific landmarks and hometown athletes, offered everyday essential products and select seasonal offerings of local relevance, and primarily hired people from the neighbourhood. Unite stores included digital and self-service features, and implemented many sports-driven initiatives, such as 'Made to Play' for school- going children and Community's Ambassador programme that trained its employees to become coaches. In 2020, Nike opened nine Unite stores globally.[81]

In 2022, the company's newest retail concept, Nike Style, was launched. An immersive space that blended traditional retail with a creative studio, it targeted a sport lifestyle audience and featured seasonal and locally curated collections organised in gender-agnostic zones for clothing, footwear, and accessories. Through its studio, Style encouraged community members to create content for their own social media channels with customisable backdrops. It enabled augmented reality experiences of product innovation and art installations in the store through the use of QR codes. Additionally, the retail space held 'Nike By You' workshops and SNKRS Lounge events for Nike Members, allowing them to customise and upcycle existing items into one-of-a-kind pieces.[82]

By 2023, Nike had a total of 1,032 own brick-and- mortar stores.[83] According to Heidi O'Neill, President, Consumer and Marketplace, Nike,

> *These differentiated and innovative retail concepts will continue to separate us from the competition and will drive higher long-term growth and market share in the future as we stay laser-focused on listening to serving our consumers every day.*[84]

Phasing Out Retail Partnerships

In addition to investing in its own fleet, Nike worked towards reducing its reliance on third party retailers. Between 2017 and 2018, the sportswear company cut ties with undifferentiated sellers, including Big 5 Sporting Goods, Dunham's Sports, Urban Outfitters, Dillard's, and Zappos, while maintaining its presence with some of its strategic partners, like Foot Locker, Nordstrom, Dick's Sporting Goods, Macy's, DSW, and Zalando.[85,86] In late 2019, Nike ended its two-year partnership with Amazon due to concerns over the latter's inability to ensure a consistent and authentic customer experience on the platform.[87]

The 2020 pandemic outbreak not only catalysed the industry's shift to e-commerce but also caused supply shortages that forced many sportwear brands to reduce wholesale stock, making Nike's DTC strategy particularly well-timed.[88] Friend believed that the temporary supply chain disruptions,

> *…will likely trigger an even greater acceleration in the transformation of the marketplace—toward Nike and our most important wholesale partners.[89]*

By September 2021, Nike had pulled out of about 50% of its wholesale accounts, including DSW, Macy's and Olympia Sports.[90,91] In February 2022, the sneaker powerhouse downsized its inventory even at Foot Locker, its long-standing strategic partner, which had even integrated the Nike app in its stores.[92] By 2023, Nike was left with 30,000 points of distribution through wholesale.[93]

Early Signs of Success

Within three years, the success of Nike's strategy was evident. In fiscal year 2022, the sportswear brand achieved record revenues of US$46.7 billion, with its DTC channel share rising to 42%, from 30% in 2018. Direct selling and a higher volume of full-price sales boosted profits, with Nike's gross margins rising to 46% in fiscal 2022, from 43.8% in 2018.[94]

A key goal of Nike's direct approach was to increase its digital penetration from less than 15% in 2018 to 30% by 2023. The brand achieved that in 2021, with its digital commerce sales reaching US$9.1 billion, more than triple from US$2.8 billion in 2018.

Nike's strong performance prompted it to set more ambitious targets for 2025, aiming for 50% digital penetration, with 60% of Nike Brand's revenue to come from DTC sales, and 40% of its direct sales to be driven by Nike-owned digital channels.[95] Even though Nike continued to face supply chain restrictions in the wake of the pandemic in early 2022, forcing the company to reduce its revenue growth guidance for the fiscal year from low double-digit growth to mid-single digits, Friend said,

> *We're optimistic that inventory supply availability will improve as we approach fiscal year 23. And our vision for Nike's long-term future remains unchanged.[96]*

Challenges Henceforth…Yet

In 2022 and 2023, Nike faced a notable hurdle as supply chain disruptions continued, resulting in high in-transit inventory. The company accumulated US$8.4 billion and US$8.5 billion worth of inventory during fiscal 2022 and 2023 respectively—23% higher than in 2021.[97] One key contributing factor was an industry-wide decrease in demand, as post-pandemic, consumers had reduced discretionary spending and prioritised price over branding.[98]

Nike, like other retailers, was believed to have overestimated the pandemic-driven demand and overstocked.[99] However, unlike its competitors, the sportswear giant faced the additional issue of fewer retail points to clear the excess merchandise following its pivot away from third-party distribution. This limited shoppers from physically trying and comparing its products before making a purchase. Moreover, the wholesalers that Nike had dropped refilled the vacated shelf space with other brands, like New Balance, Sketchers, On Running, and Hoka, and heavily promoted them.[100]

To boost its sales and liquidate the piled-up merchandise, Nike ramped up its marketing and promotional efforts. In 2023, the company's demand creation expenses soared to a record high of over US$4 billion, 30% more than in 2021.[101] In addition, the DTC model brought higher capex, such as investment in technology and restructuring, and increased variable costs like product input costs and freight and logistics expenses.[102] Nike also had to take on the full burden of managing inventory and returns, a responsibility and expense that was shared by its wholesale partners under the former retail structure.[103] Consequently, the sportswear giant's gross margins in fiscal 2023 declined to 43.5%, while its net income fell for the first time, a 16% y-o-y drop to US$5.1 billion (refer to **Exhibit 5** for details on its financial performance).[104]

On the other hand, Nike performed strongly on several other parameters. Its annual revenue rose to US$51.2 billion, a 10% growth over 2022. Direct sales reached US$21.3 billion, marking a 14% year-on-year increase and contributing to 44% of total revenue. Meanwhile, Nike Brand's digital sales grew by 24%, reaching US$12.6 billion.[105]

Next Steps

Faced with increasing revenue and growing direct sales but falling gross margins and net income, Nike needed to pause and reflect on its CDO strategy. Had it been successful despite the challenges? What were the main benefits the strategy brought and what were the key drawbacks? Should the company continue with this approach or adjust certain elements to better align with consumer preferences? What was the ideal long-term balance between DTC and wholesale distribution that Nike should target moving forward? Alternatively, should Nike abandon the strategy entirely and return to its earlier "lean and flexible" model, refocusing on product innovation and brand marketing? What was the right path ahead?

EXHIBIT 1: SPORTSWEAR MARKET SHARE BY DEMOGRAPHICS

	2015	2023
Men		51%
Women	33%	36%
Children	13%	13%

Source: Salvio Cascarino et al., "Sector Update Sportswear", S&P Global Ratings, June 25, 2024, https://www.spglobal.com/_assets/documents/ratings/research/101600029.pdf, accessed December 2024.

EXHIBIT 2: RETAIL DISTRIBUTION: ONLINE AND OFFLINE

Retail	2018	2019	2020	2021	2022	2023
E commerce						30
Apparel and footwear specialist stores	25	24	19	20	21	21
Sports goods stores	34	33	31	31	30	31
Other physical stores	24	23	20	20	19	19

Source: Salvio Cascarino et al., "Sector Update Sportswear", S&P Global Ratings, June 25, 2024, https://www.spglobal.com/_assets/documents/ratings/research/101600029.pdf, accessed December 2024.

EXHIBIT 3: TOP 10 SPORTSWEAR BRAND'S RELATIVE MARKET SHARES

	2018	2023
Nike		15.8
Adidas	10.3	8.3
Puma	2.0	2.6
Sketchers	2.1	2.4
lululemon	0.9	2.2
Under Armor	2.4	2.1
New Balance	1.4	1.5
The North Face	1.4	1.4
Anta	1.1	1.4
Li Ning	0.7	1.4

Source: Salvio Cascarino et al., "Sector Update Sportswear", S&P Global Ratings, June 25, 2024, https://www.spglobal.com/_assets/documents/ratings/research/101600029.pdf, accessed December 2024.

EXHIBIT 4: NIKE TRIPLE DOUBLE STRATEGY

Nike's Triple Double Strategy was introduced in March 2017. It comprised:

2X Innovation: Nike planned to double its cadence and impact of product innovations by adding more distinct platforms[2], accelerating the time it took for a new platform to reach the market, and scaling innovation faster across multiple sports and styles. Also, it implemented an 'edit-to-amplify' move to focus more on its most popular and successful styles, and speed-up production by editing out 25% of styles from its product portfolio.

2X Speed: Nike worked to improve its supply chain speed by reducing its average product creation timelines by 50%. It enhanced investments in end-to-end digital capabilities to serve consumers anywhere and faster, while offering real-time personalised products through the use of robotics and automation. It introduced initiatives, such as the 'Express Lane' to create products from design to delivery in less than six months; update products from demand signal to delivery in less than three months; and fulfil or replenish sold-out products in just a matter of days. Operational in North America and Western Europe, the Express Lane was also to be extended to China, serving Shanghai, Seoul, and Tokyo—three of the world's most promising sports consumer markets.

2X Direct: The company aimed to double its direct consumer connection by enhancing its membership programme and improving the overall Nike Consumer Experience (NCX) through digital innovation across all touchpoints, including Nike-owned physical stores, its website and digital platforms, and wholesale partners.

Source: "NIKE Investor Day 2017", Nike, October 25, 2017, https://s1.q4cdn.com/806093406/files/doc_events/2017/10/updtd/NIKE-Inc.-2017-Investor-Day-Transcript-With-Q-A-FINAL.pdf; "Nike Announces Major Reorganization Focused on Consumers, Key Cities and Speed", Press Release, SHOPeatSURF X OUTDOOR, June 15, 2017, https://shop-eat-surf.com/2017/06/content-nike-announces-major-reorganization-focused-on-consumers-key-cities-and-speed/, accessed December 2024.

2 Platform here refers to distinct technical innovations based on which a number of products may be introduced.

EXHIBIT 5: FINANCIAL PERFORMANCE OF NIKE OVER 2017-2024

In USD million except for the calculated values/ratios	FY2024	FY2023	FY2022	FY2021	FY2019	FY2017
Nike Brand Revenues	**49,322**	**48,763**	**44,436**	**42,293**	**37,218**	**32,233**
Sales to Wholesale Customers	27,758	27,397	25,608	25,898	25,423	23,078
Sales through NIKE Direct	21,519	21,308	18,726	16,370	11,753	9,082
Global Brand Divisions[a]	45	58	102	25	42	73
Converse	2,082	2,427	2,346	2,205	1,906	2,042
Corporate[b]	(42)	27	(72)	40	(7)	75
Total Nike Inc. Revenues	**51,362**	**51,217**	**46,710**	**44,538**	**39,117**	**34,350**
Cost of Sales	28,475	28,925	25,231	24,576	21,643	19,038
Gross Profit	22,887	22,292	21,479	19,962	17,474	15,312
Gross Margin	**44.6 %**	**43.5 %**	**46.0 %**	**44.8 %**	**44.7%**	**44.6%**
Demand Creation Expense	4,285	4,060	3,850	3,114	3,753	3,341
Operating Overhead Expense	12,291	12,317	10,954	9,911	8,949	7,222
Total Selling and Administrative Expense	16,576	16,377	14,804	13,025	12,702	10,563
% of Revenues	32.3 %	32 %	31.7 %	29.2 %	32.5%	30.8%
Income before Tax	6,700	6,201	6,651	6,661	4,801	4,886
Net Income	**5,700**	**5,070**	**6,046**	**5,727**	**4,029**	**4,240**

Fiscal year for Nike ends on May 31st of the calendar year; [a]Global Brand Divisions revenues are primarily attributable to Nike Brand licensing businesses that are not part of a geographic operating segment; [b]Corporate revenues primarily consist of foreign currency hedge gains and losses

Source: Nike Inc. Annual Reports

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